UNIT 16 SECURITIES AND EXCHANGE BOARD OF INDIA (SEBI)

Structure

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16.0 OBJECTIVES

After going through this unit, you will be able to:

- describe SEBI;
- explain SEBI's objective and functions;
- highlight the rationale for SEBI;
- describe the working of SEBI as a capital market regulator;
- evaluate the performance of SEBI;
- examine the challenges before SEBI; and
- suggest measures for improving SEBI's effectiveness.

16.1 INTRODUCTION

India's approach to '*market regulation*' has evolved keeping systemic imperatives and institutional prudence at the centre. Legislative and regulatory action over the years has started to change things for the better. The changing regulatory environment has also enabled foreign institutional investors steeped in a more robust activism culture. Shareholder activism may have gained ground, but it still has a distance to go.

There is increasing evidence that law and regulations are important for the financial markets. Financial markets have an important relationship with economic development. Regulation has been acknowledged to enable the orderly functioning of the securities market. In India, because of the securities fraud, there was a sense of urgency to establish a capital market regulator. Keeping this in mind, Securities and Exchange Board of India (SEBI) was officially established in 1988 and given autonomous and statutory powers in 1992 after the SEBI Act 1992 was passed by the Indian Parliament. The role of SEBI was defined to be responsive to the needs of three groups, which constitute the market: the issuers, the investors, and the intermediaries.

SEBI is primarily set up to protect the interests of investors in the securities market. It plays an important role in regulating the Indian capital market. Since its establishment in 1992 as a statutory regulatory body, it has been doing a commendable job of protecting the interests of investors. SEBI provides a platform for stockbrokers, sub-brokers, portfolio managers, investment advisers, share transfer agents, bankers, merchant bankers, trustees of trust deeds, registrars, underwriters, and other associated people to register and regulate work.

SEBI aims to meet the needs of issuers, investors, and intermediates involved in the securities market. SEBI is a quasi-legislative and quasi-judicial organisation with the authority to create rules, conduct investigations, issue decisions, and levy penalties. It also regulates the functioning of the stock market. The head office of SEBI is in Mumbai. Having this backdrop, this unit will discuss various aspects of SEBI in terms of its concept, nature, rationale for its formation, objectives, functions and powers, structure of governance, working, challenges, evaluation of its working and suggestions for going forward.

16.2 CONCEPT AND ACT OF SEBI

In 1988, SEBI was founded as a non-statutory organization with the responsibility of monitoring stock market activity. The SEBI Act of 1992 made SEBI a statutory body with independent jurisdiction and was established on the 12th of April, 1992. The Act gave SEBI the power to oversee and actively enforce regulations governing the capital markets. It monitors and regulates the Indian capital and securities market while ensuring the protection of the interests of the investors, formulating regulations and guidelines.

16.2.1 Evolution of SEBI and Act of 1992

Before SEBI came into existence, the Controller of Capital Issues (CCI) was the regulatory authority. The capital market was regulated by the Capital Issue (Contract) Act, of 1947. Later on, when the Controller of Capital Issues was abolished, SEBI was given the responsibility of a market regulator. With the abolition of CCI, companies do not require prior permission from the government to access the capital markets. Companies are free to approach the capital markets without prior government permission, subject to getting offer documents cleared by SEBI. Controls over price and premium fixation have also been removed and most issuing companies are free to fix the price of their securities for the public as well as rights issues.

In 1988, SEBI was constituted as the regulator of capital markets in India. Initially, SEBI was a non-statutory body without any statutory power. The SEBI was established as a statutory entity by an ordinance on January 30, 1992. The ordinance was passed by both houses of Parliament on April 1, 1992, although the legislation is deemed to have taken effect from the day the ordinance was issued. SEBI is a body having a separate legal existence and perpetual succession. In 1995, the SEBI was given additional statutory power through an amendment to the SEBI Act of 1992.

SEBI was established in the same manner as the Securities and Exchange Commission (SEC) of the United States, which was established under the Securities Exchange Act of 1934 to oversee the securities market and to prevent unfair trade activities on the stock exchange. The SEBI Act 1992 covers the following areas:

i) Composition and actions of the SEBI Board members

ii) Powers and Functions of the Board

iii) Fund sources of SEBI, as in grants made available by the Union Government

iv) Rules on Penalties and Legal Pathways

v) Definition of the judicial authority of SEBI

vi) The extent of powers of the Union Government to supersede SEBI.

SEBI also has to adhere to a list of SEBI guidelines, about areas such as:

i) Employee Stock Option Schemes.

ii) Disclosure and Investor Protection norms.

iii) Legal Proceedings.

iv) Anti-money laundering norms.

v) Listing and delisting of securities.

vi) Opening of trading terminals overseas.

Listing Obligations and Disclosure Requirements (LODR) regulations for SEBI form one of the most important mandates. The new regulation in 2015 on LODR intends to consolidate all the previous amendments into one single document, making the document uniform across different segments of the capital market. The SEBI (LODR) Regulations, 2015 entails the following:

i) Disclosures and obligations that have to be acknowledged by the compliance officers of the listed company.

ii) Listing down obligations uniform to all listed companies.

iii) Distinct obligations for certain types of securities.

iv) Segregating initial issuance and post-IPO norms.

v) Communication of the companies' fundraising activities.

vi) Establishing timelines for notifying the exchanges of certain events.

vii) Bringing MSMEs under the ambit of the SEBI (LODR) Regulations.

16.2.2 Rationale for the Establishment of SEBI

Broadly, financial markets may be considered to comprise the securities markets and financial institutions such as banks and non-banking finance companies (NBFCs). There are multiple perspectives from which the rationale for regulation may be examined. SEBI was set up with the main purpose of keeping a check on malpractices and protecting the interests of investors. It was set up to meet the needs of the following three groups, which constitute the market:

i) *For issuers*: it provides a marketplace in which they can raise finance fairly and easily.

ii) *For investors*: it provides protection and supply of accurate and correct information.

iii) *For intermediaries*: it provides a competitive professional market.

The purpose of SEBI is to maintain stable and efficient markets by creating and enforcing regulations in the marketplace. It is a vital component in improving the quality of the financial markets in India, both by attracting foreign investors and protecting Indian investors. SEBI has an explicit mandate to develop securities markets. Market participants are issuers and issuances, investors, intermediaries, stock exchange, clearing corporations and depositories.

According to *G. Sabarinathan,* "The Indian securities market is a complex network of a host of economic agents. When they come together to execute a transaction they are tied together through a web of regulations, in addition to their commercial interconnectedness. Even the conduct of those that are not directly governed by securities regulations is indirectly influenced through their contractual obligations to other regulated intermediaries and/or the regulation on the outcome of the service they provide".

The government and the community at large would expect that the securities market function as an important, stable and safe centre piece of the financial system, coexisting in a symbiotic relationship with the rest of the financial system. "The failure of the securities market could have a ripple effect on the rest of the financial system as a whole". Stock exchanges expect a stable, consistent and transparent policy regime that would enable them to engage in the activity of providing liquidity to investors by innovating, competing and responding to emerging developments in the financial sector. In short, SEBI plays an important role in regulating and protecting the interests of all the players operating in the Indian capital market by enforcing various rules and regulations.

16.3 OBJECTIVES AND FUNCTIONS OF SEBI

The objective of the SEBI is to provide an environment that paves the way for the mobilisation and allocation of resources. It provides practices, framework and infrastructure to meet the growing demand. The following are the primary objectives of the SEBI:

i) *Regulation of Stock Exchanges*: SEBI regulates the activities of stock exchanges so that efficient services may be provided to all the parties operating there.

ii) *Investor Protection*: This is one of the most important objectives of setting up SEBI. It involves protecting the interests of investors by providing guidance and ensuring that the investment is safe.

iii) Preventing fraudulent practices and malpractices which are related to trading and regulation.

iv) Developing a code of conduct for financial intermediaries such as underwriters, brokers, and other intermediaries.

v) Ensuring investor's education about the intermediaries of securities markets and enhancing their knowledge.

vi) Taking care of research and development to ensure the securities market is efficient at all times.

SEBI achieves its objectives through proactive supervision and policy measures. The realisation of statutory objectives in the securities market requires absolute clarity of statutory provisions.

16.3.1 Functions of SEBI

SEBI is a statutory body and a market regulator, its functions are categorised under protective, regulatory and developmental functions. These are discussed as follows:

a) **Protective Functions**: The protective function relates to the role that SEBI plays in protecting the interests of investors and also that of other financial participants. This function includes the following activities:

   i) Prohibits insider trading: Insider trading means buying or selling of the securities by the insiders of a company, which includes the directors, employees and promoters. To prevent such trading SEBI has barred the companies from purchasing their shares from the secondary market.

   ii) Check price rigging: Price rigging causes unnatural fluctuations in the price of securities by either increasing or decreasing the market price of the stocks which leads to unexpected losses for the investors. SEBI maintains a very close watch to prevent such malpractices.

   iv) Promoting fair practices: SEBI promotes fair trade practices and works towards prohibiting insider trading, i.e. fraudulent and unfair trade practices related to the securities market.

   iv) Financial education: SEBI educates the investors by conducting online and offline sessions that provide information related to market insights and also on money management. It takes efforts to educate the investors regarding ways to evaluate the investment options better.

   v) Regulates the operations of depositories, participants, custodians of securities, foreign portfolio investors, and credit rating agencies.

b) **Regulatory Functions:** Regulatory functions involve a framework of rules and regulations for the financial intermediaries along with corporates that help in the efficient management of the market. The following are some of the regulatory functions:

   i) SEBI has defined the rules and regulations and formed guidelines and codes of conduct that should be followed by the corporates as well as the financial intermediaries.

   ii) Monitors substantial acquisitions of shares and take-over of companies,

   iii) Conducting inquiries and audits of stock exchanges.

   iv) Regulates the working of stock brokers, merchant brokers etc. It regulates and registers the workings of share transfer agents, stockbrokers, merchant bankers, trustees, and others who are linked with the stock exchange.

   v) Regulates and registers the mutual funds as well.

c) **Developmental Functions:** Developmental function refers to the steps taken by SEBI to provide the investors with knowledge of the trading and how the market functions. The following activities are included:

i) Training of intermediaries who are a part of the security market.

ii) Introduction of trading through electronic means or the internet with the help of registered stock brokers.

iii) By making the underwriting an optional system to reduce the cost of the issue.

iv) Promotes the development of the securities market and business.

v) Enables a competitive professional market for intermediaries.

Several of the functions that SEBI discharges are based on powers that it draws from the Securities Contract Regulation (SCR) Act, 1956 and the rules made thereunder. Two amendments in 1995 and 1999 brought about several important changes to the scope and the administration of the SCR Act, resulting in the current form of the law (Sabarinathan, 2010).

Check Your Progress 1

1) What is SEBI? Why was it established?

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2) Explain the role and objectives of SEBI.

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3) Why is there stress on protecting the interest of investors?

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16.4 STRUCTURE OF SEBI

SEBI is run by its board of members. The board comprises of nine members. SEBI has a corporate framework comprising various departments each managed by a department head. The headquarters of SEBI is situated in

Bandra Kurla Complex, Mumbai and the regional offices are located in Ahmedabad, Kolkata, Chennai and Delhi. It has also opened local offices in *Jaipur, Bengaluru, Guwahati, Bhubaneshwar, Patna, Kochi, and Chandigarh*.

The hierarchical structure of SEBI consists of the following:

i) The chairman of SEBI is nominated by the Union Government of India.

ii) Two officers from the Union Ministry of Finance.

iii) One member is from the Reserve Bank of India.

iv) The remaining 5 members are nominated by the Union Government of India out of them at least 3 are whole-time members.

Allocation of work among Chairman and Board members: The Chairman of SEBI, in addition to overseeing the Board, also looks over the Communications, Vigilance, and Internal Inspection Department. There are four full-time members in the organizational structure. The whole-time members are allocated several departments that they have to oversee. Each department is individually headed by an executive director. The executive directors report to specific whole-time members.

The organizational structure of SEBI consists of various departments, such as Foreign Portfolio Investors and Custodians (FPI&C), Corporation Finance Department (CFD), Information Technology Department (ITD), Department of Economic and Policy Analysis (DEPA-I, II, & III), Investment Management Department, Legal Affair Department, Treasury and Accounts Divisions (T&A), and National Institute of Securities Market (NISM).

SEBI also appoints various committees, whenever required to look into the pressing issues of that time. These committees can only advise SEBI but they cannot force SEBI to take action on their advice.

16.4.1 Authority and Power of SEBI

SEBI has broad powers to carry out the goals of the SEBI Act of 1992. It has the authority to take both preventative and punitive actions to safeguard investors and improve the securities market. Circulars, instructions, and press releases are examples of such initiatives. Furthermore, SEBI is in charge of overseeing all Asset Management Companies (AMCs) registration. It is the primary authority when it comes to controlling, supervising, and assessing the performance of investment managers. It also has a procedure for resolving complaints and other concerns about asset managers.

SEBI has the power to regulate and perform functions such as check the books of accounts of stock exchanges and call for periodical returns, approve by-laws of stock exchanges, inspect the books of financial intermediaries such as banks, compel certain companies to get listed on one or more stock exchanges, and handle the registration of brokers.

SEBI has three functions rolled into one body: *quasi-judicial, quasi-executive and quasi-legislative*:

i) Quasi-Judicial: SEBI has the authority to deliver judgements related to fraud and other unethical practices in terms of the securities market. This helps to ensure fairness, transparency, and accountability in the securities market.

ii) Quasi-Executive: SEBI is empowered to implement the regulations and judgements made and to take legal action against the violators. It is also authorised to inspect Books of accounts and other documents if it comes across any violation of the regulations.

iii) Quasi-Legislative: SEBI reserves the right to frame rules and regulations to protect the interests of the investors. Some of its regulations consist of insider trading regulations, listing obligations, and disclosure requirements. These have been formulated to keep malpractices at bay.

Though this makes SEBI very powerful, there is an appeal process to create accountability. There is a *Securities Appellate Tribunal* (SAT) which is a three-member tribunal. Securities Appellate Tribunal (SAT) has been constituted to protect the interest of entities that feel aggrieved by SEBI's decision. SAT consists of a presiding officer and two other members.

A second appeal lies directly to the Supreme Court. Furthermore, as part of its powers, SEBI can restrict or ban a person from entering the securities market. SEBI can issue such an order even while the inquiry is ongoing. By obtaining a disgorgement order, SEBI can recover illicit gains acquired by a person via illegal activity.

SEBI can also take immediate action against companies that incorporate illegal schemes to generate revenue from retail investors, and it can prohibit a person acting as an intermediary, such as a research analyst, investment advisor, and so on, from soliciting/undertaking an activity in securities, either explicitly or implicitly.

SEBI has sufficient regulatory guardrails and multiple statutes in place. Some of them are:

i) Listing Obligations and Disclosure Requirements for Prevention of Fraud and Unfair Trade Practices Rules.

ii) Level the playing field for retail investors and shield them from fraud.

iii) Active derivatives contracts in index stocks that allow investors to hedge cash positions, circuit filters,

iv) Advanced and Graded Surveillance Mechanisms with stiff margining that seek to rein in excessive single-day moves.

Supreme Court held that the SEBI Act is a special law and a complete code in itself. Being a special Act dealing with a specific subject, it has to be read in harmony with the company law. Further, SEBI's power to restrain an individual from acting as a director in a listed company has been upheld in several matters. Therefore, prohibition comes into effect immediately and it is not contingent on the process to be followed under the Companies Act (Sahoo and Agarwal, 2022).

16.4.2 Mutual Fund Regulations by SEBI

Over the past decade, the mutual fund industry has grown five-fold with assets under management touching ₹40-lakh crore in December 2022, from ₹8-lakh crore in November 2012. From ₹10-lakh crore in May 2014, mutual funds' assets under management (AUM) rose to ₹20-lakh crore in just three years in August 2017 and then crossed ₹30-lakh crore in November 2020 (Kumar and Iyengar, 2023).

SEBI has put in multiple regulations for mutual funds. Mutual funds are managed by Asset Management Companies (AMC), which need to be approved by SEBI. A Custodian who is registered with SEBI holds the securities of various schemes of the fund. The trustees of the AMC monitor the performance of the mutual fund and ensure that it works in compliance with SEBI Regulations.

In August 1995, a self-regulation agency for mutual funds was set up called the Association of Mutual Funds of India (AMFI). AMFI focuses on developing the Indian mutual fund industry professionally and ethically. AMFI aims to enhance the operational standards in all areas to protect and promote mutual funds and their stakeholders. In April 2022, there were 44 Asset Management Companies that were registered with SEBI and were members of AMFI. An AMC cannot have representation on the board of any other mutual fund. Shareholders can't hold more than 10 per cent of the shares both directly and indirectly in the AMC of the mutual fund.

Guidelines on Mutual Funds Reclassification:

i) Funds must be named based on the core intent of the fund and asset mix. It should specify the risk associated clearly.

ii) There will be 16 classifications for debt funds, 10 classifications for equity funds, six classifications for hybrid, two for solution funds, and two for index funds.

iii) Reclassified large-cap, mid-cap, and small-cap based on market cap relative rankings rather than absolute market cap cut-offs. The debt fund classification is prescribed based on the duration of the fund and the asset quality mix.